

RXO INC July 27, 2026 - 10:49am EST
by

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			2026	2027
Price:	23.54	EPS	0.53	0.81
Shares Out. (in M):	170	P/E	44.4	29.1
Market Cap (in \$M):	3,890	P/FCF	NM	33.8
Net Debt (in \$M):	432	EBIT	0	107
TEV (in \$M):	4,322	TEV/EBIT	NM	40.3
Borrow Cost:	General Collateral			

Description

RXO: Unknown Liabilities

Description: RXO is a top-five U.S. freight broker with known leverage of approximately 5x LTM EBITDA and unknown off-balance-sheet liabilities. It was spun off from XPO in 2022 and subsequently acquired Coyote, another freight brokerage, from UPS in 2024 for \$1.05 billion.

Executive Summary

RXO is priced for a strong freight recovery, market-share gains and a clean Coyote synergy story, which is optimistic on its face. Importantly, investors seem to be ignoring a recent massive structural change to broker liability that poses a potential existential risk to freight brokers.

On May 14, 2026, the Supreme Court ruled on *Montgomery v. Caribe* and removed FAAAA preemption as a categorical early-dismissal defense for safety-related negligent-selection claims. To simplify: up until this ruling, if a broker placed a load on a carrier and that carrier had a safety incident (fell asleep, had an accident or killed someone) the broker was unaccountable for damages. Now the broker is on the hook. And, to be clear, the broker is not only liable for future incidents but for past ones, as well. Keep in mind that, depending on the state and cause of action, plaintiffs ordinarily have one to ten years from an incident to file suit. Tolling rules involving minors, incapacity or delayed discovery can extend that period further. Therefore, freight brokers have exposure to punitive jury verdicts, which are becoming more frequent and more severe in the last few months. Since May 2026, there has been a \$52 million ruling in a non-fatal California accident, a \$104 million judgement in a Texas case where a co-driver passed away, and a \$604 million verdict in another Texas case regarding an accident resulting in 3 deaths.

RXO management has been telling everyone who will listen that it is surfing a fresh cyclical wave and that it will grab new business from weaker brokers as a result of the *Montgomery* ruling. This highly promotional management team has omitted one key fact: it faces a new risk. Brokers are being added to pending litigation against trucking companies left and right. On July 23, the first post-*Montgomery* jury verdict involving a freight brokerage hit, and the mark is ugly. A Dallas jury returned a \$604 million advisory compensatory verdict against C.H. Robinson and two codefendants in *Lipe v. Lupus Superior*. Read more here:

<https://www.freightwaves.com/news/c-h-robinson-hit-with-huge-nuclear-verdict-in-a-post-montgomery-world>

Lipe is not a case involving RXO, but it is the best available mark-to-market for RXO's pending litigation, since it is a recent verdict that involved a brokered load.

The crash occurred in March 2021 (more than five years ago). I see other cases in the market as far back as 2017 that remain unresolved, and *Montgomery* itself is a 2017 incident. How far back can the courts look? How many wrecks are there? How many involved fault and damages but lacked a deep-pocketed defendant? Coyote belonged to UPS until RXO acquired it in 2024; is there any putback or indemnity?

CHRW says *Lupus Superior* had an FMCSA Satisfactory rating and had safely completed nearly 270 loads for its customers. Yet it did not do enough when vetting *Lupus* and is on the hook for 23% of the ruling. If a "Satisfactory" rating and a 270-load history are not a safe harbor for selection, what is? CHRW and RXO are adamant that their processes are "best-in-class," but that does not seem to matter. Freight blogger Craig Fuller highlighted an important point: the public SAFER record dates the *Lupus Superior* Satisfactory rating to 2014, seven years before the 2021 crash. Perhaps this contributes to the jury's apparent disregard for the rating.

https://safer.fmcsa.dot.gov/query.asp?query_param=USDOT&query_string=2370470&query_type=queryCarrierSnapshot&searchtype=ANY

Attorneys will find deep pockets. Landstar's *Cabral* case in Texas is instructive. The jury assigned LSTR 15% of a \$22.8 million award and assigned 50% to the

driver. However, it deemed the driver Landstar's "statutory employee". The trial court thus made Landstar responsible for 100% of the damages, plus interest. The mechanism is that Landstar's direct 15% plus the driver's 50% exceeded Texas's joint-and-several threshold. Landstar is appealing. Notably, Lipe presents the same dangerous architecture. CHRW received 23% direct fault, while the driver received 45% and was found to be acting on CHRW's mission and subject to its control. If the agency finding survives, that combines to 68% on CHRW and, under Texas's joint-and-several threshold, the broker can become the full-loss defendant. The bigger issue is that mechanisms exist to put these judgments on those with the ability to pay. It seems inevitable that large brokers, with balance sheets and capacity to pay, will be targeted.

Coyote's Back Book

RXO's acquisition of Coyote now looks like a veritable albatross. It did not merely buy future brokerage earnings; it bought years of carrier-selection files, unresolved accident facts, and dependence on occurrence-year insurance contracts. A public-record search identifies four casualty matters spanning 2017–2022:

- Simon - A 2017 fatal crash involving allegedly deficient rear lighting and reflective tape plus unauthorized carrier substitution. On Oct 22, 2025, Florida's Second DCA reversed Coyote's preemption win. After Montgomery, Coyote filed a notice voluntarily dismissing Florida Supreme Court review on May 22, 2026. The case is live.
- Hodge - A 2019 six-vehicle crash caused a T-3 spinal-cord injury, multiple fractures and a child's fractured femur. On June 11, 2026, the Eleventh Circuit vacated Coyote's preemption victory and remanded just weeks after the SCOTUS Montgomery ruling.
- Dunn - A 2022 accident killed pedestrian Scottie Dunn and the Fresno Transport driver. Plaintiffs allege drug use, carrier-safety violations, gross negligence and punitive damages. Coyote's motion to dismiss was denied in 2025; the case remains active.
- Lee/Bastone - A 2020 double-fatality case involving unauthorized carrier substitution. Coyote won final summary judgment in 2023 under the preemption theory later abrogated by Montgomery. No reopening has been verified, but this should be on the watch list.

This is a minimum public-record inventory, not a claims bordereau. Notably, similar open-source work on CHRW did not surface Lipe before last week's news. That gap is the point: investors cannot know the full extent of RXO's legacy liabilities.

RXO names none of these cases in its filings and discloses no case-specific reserves, applicable limits, retention, or insurer acceptance. That does not prove no reserve exists; it means investors cannot see it. RXO reported \$91 million of total insurance liabilities at year-end 2025, down from \$111 million. Its Q1 filing came one week before Montgomery, making Q2 the first post-ruling reserve and disclosure checkpoint.

Indemnity/Insurance?

UPS does not appear to be a blanket backstop. The Coyote purchase agreement permits pre-closing occurrences to access applicable UPS-era policies only if the policy wording responds, which could be an issue. Notably, RXO must reimburse UPS for deductibles, self-insured retentions and recovery costs and, ultimately, RXO retains the liability. The purchase agreement mentions a confidential schedule listing a "Specific Indemnity Matter". I don't know what it is. Perhaps it may provide relief on negligent-selection issues. If not, this seems like a significant oversight by the RXO deal team, as the document reads to me that RXO is ultimately responsible for past occurrences.

Additionally, I do not have insight into the specifics of RXO's/Coyote's current and past insurance stacks. Do they specifically include "negligent selection" or equivalent wording? If not, every major accident can therefore trigger a dispute over coverage. If negligent selection or agency liability is not expressly insured, an auto carrier may argue that professional negligence falls outside its grant; E&O can invoke bodily-injury exclusions; aggregates may be exhausted; and defense costs may consume coverage. Notably, Knight-Swift said on its Q2 2026 earnings call that its post-Montgomery brokerage insurance renewal brought reduced capacity, premium rates at multiples of prior coverage, and, new to the story, proposed exclusions tied to strict compliance with carrier-vetting practices. This is not a theoretical future risk; it is the current state of insurance underwriting.

Sizing the Back Book

FMCSA reports 24,658 fatal large-truck crashes in the observed five-year period. Because the 2025's final data is unavailable, the table below uses the five-year average of 4,932, producing a six-year back-book risk pool of 29,590. That fatal crash count is the only observable starting point in the funnel. There is no

public database showing which fatal loads were brokered, which brokers were named, what they spent defending the claims, or how many ultimately produced broker-funded losses.

The table, therefore, makes the uncertainty explicit. These are estimates, not observed industry frequencies. They are deliberately broad because each input must proxy for facts investors cannot see, predict or test against historical data. The resulting figures are gross before insurance, carrier contributions, fault allocation, appeals, post-trial reductions and coverage disputes.

	Bull	Base	Bear
1. Convert fatal crashes into named broker matters			
Fatal crashes in back-book pool	29,590	29,590	29,590
Broker-linked share	15.0%	20.0%	25.0%
Broker-linked fatal crashes	4,439	5,918	7,398
Claim / defense activation	25%	35%	40%
Named broker matters	1,110	2,071	2,959
2. Apply ordinary-case and severe-case loss mechanics			
Ordinary cost per named matter (\$mm)	\$0.75	\$1.50	\$3.00
Severe paid-loss rate	15%	25%	40%
Severe broker matters	166	518	1,184
Loss per severe matter (\$mm)	\$35	\$100	\$200
Industry ordinary defense / resolution (\$mm)	\$832.2	\$3,107.0	\$8,877.0
Industry severe indemnity (\$mm)	\$5,825.5	\$51,782.5	\$236,720.0
Industry gross sensitivity (\$mm)	\$6,657.8	\$54,889.5	\$245,597.0
3. Translate the industry sensitivity to RXO			
RXO/Coyote market-share proxy	4.0%	4.0%	4.0%
RXO/Coyote gross back-book sensitivity (\$mm)	\$266.3	\$2,195.6	\$9,823.9
Sensitivity / 2025 adjusted EBITDA	2.4x	20.1x	90.1x
Sensitivity / insurance liabilities	2.9x	24.1x	108.0x
Sensitivity / Q1 cash	12.7x	104.6x	467.8x
Sensitivity / enterprise value	0.1x	0.5x	2.0x

The funnel produces 1,110 / 2,071 / 2,959 named broker matters and 166.4 / 517.8 / 1,183.6 severe matters. That translates into industry gross sensitivity of \$6.7 billion / \$54.9 billion / \$245.6 billion. The range is enormous because the uncertain conversion and severity assumptions multiply. The table is not claiming that any one point is "right"; it shows how quickly a large crash pool becomes financially consequential under the stated assumptions.

Applying the table's 4% RXO/Coyote share proxy produces gross company sensitivity of \$266.3 million / \$2.20 billion / \$9.82 billion. Even the Bull case equals 2.4x adjusted EBITDA, 2.9x insurance liabilities and 12.7x cash. The Base case equals 20.1x EBITDA and 0.5x enterprise value; the Bear case reaches 2.0x enterprise value. The analysis shows why RXO has little room for an adverse back-book surprise. I do think it is important to note that the base case of \$266.3 million across 166 "severe matters" is just 44% of the recent \$604 million single judgement.

This is a simplification, but I also cannot know which end of the range may be closer to reality. Recall, there was just a \$52 million verdict on a non-fatal accident. The model above also omits nonfatal matters entirely. Notably, since 2020, there have been nearly 3 million non-fatal incidents involving large trucks.

Why RXO Is the Clean Short

CHRW is the named broker in this Lipe case, but RXO has the weakest ability to absorb similar future liability. In Q1 2026 it produced \$1.425 billion of revenue, 77% from truck brokerage. From the \$1.4 billion of revenue, the company only generated \$6 million of adjusted EBITDA, a \$36 million net loss, and negative \$7 million of operating cash flow. It held \$21 million of cash against approximately \$447 million of debt and finance-lease obligations. Goodwill and intangibles totaled \$1.553 billion against \$1.509 billion of equity, equating to negative tangible equity of \$44 million.

At roughly \$26 per share, RXO carries a \$4.3 billion equity value and approximately \$4.8 billion enterprise value, approximately 44x 2025 adjusted EBITDA and 24x management's aspirational \$200 million of EBITDA. That is generous for a healthy, fast-growing business. It does not contemplate an opaque and potentially devastating back book or potentially significantly lower forward economics from higher insurance, claims and legal costs, all of which I do not fully explore in this memo.

Catalysts and Risks

Catalysts

Q2 reserve or contingency language; named Coyote-case disclosure; insurer reservations, exclusions or coverage litigation; higher legal and premium expense; adverse discovery in Simon, Hodge or Dunn; and another miss on Coyote synergies or cash conversion. The \$604 million CHRW verdict is not an RXO loss forecast, but it is 5.5 times RXO's 2025 adjusted EBITDA and 6.6 times its disclosed insurance liabilities.

Risks

Lipe and Cabral could be reduced or reversed; Coyote may prevail; UPS-era insurance may respond; and a freight upcycle could lift margins faster than legal costs. None resolves the asymmetry: CHRW has shown the severity, Landstar the allocation risk, and RXO the least capacity to absorb either.

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I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Q2 reserve or contingency language; named Coyote-case disclosure; insurer reservations, exclusions or coverage litigation; higher legal and premium expense; adverse discovery in Simon, Hodge or Dunn; and another miss on Coyote synergies or cash conversion. The \$604 million CHRW verdict is not an RXO loss forecast, but it is 5.5 times RXO's 2025 adjusted EBITDA and 6.6 times its disclosed insurance liabilities.

Messages

Subject Valuation / price target?
Entry 07/27/2026 01:30 PM
Member grizzlybear

Thanks for the idea. Do you have a fair value for RXO based on your estimates of the business value and liability? Also do you have a sense for timing of how these legal cases play out or work their way through the system?

Subject Re: Valuation / price target?
Entry 07/27/2026 11:59 PM
Member JackBlack

I don't have a specific liability estimate. As you can read in the report, the potential range is wide. Freightwaves noted +6,000 legal matters in the court system which could potentially be amended to include brokers (video below) and it seems obvious that the big brokers will be targeted. Recall that CHRW was named in the Florida Turnpike case despite not being involved - a sign of the eagerness to name big brokers. Timing - adding brokers to the cases could happen in short order, the bar for that is not high. Beyond that, there are a lot of variables for timing.

<https://www.youtube.com/watch?v=FOJLsOI3CnM>